ELDON CHAMBERS

Temple, London EC4Y 7BA

IN THE MATTER OF BRACKEN GROUP PLC v CALDERWOOD INDUSTRIES LIMITED

Claim No. CL-2025-000412

ADVICE ON THE MERITS AND QUANTUM

PRIVILEGED & CONFIDENTIAL — SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

Introduction and instructions

1. I am asked by Whitfield Carter LLP, on behalf of Bracken Group plc ("Bracken"), to advise on the merits of Bracken's claim against Calderwood Industries Limited ("Calderwood") and on the recoverable quantum, following service of the Defence dated 9 December 2025. I advised in conference on the Particulars of Claim in October 2025, and I have now considered the Defence, the Reply in draft, the Supply Agreement and Specification, the witness materials, and the documents in the disclosure sample provided to me.

2. This Advice is privileged and is provided for the purpose of Bracken's litigation against Calderwood. It should not be disclosed to any third party without my instructing solicitors' agreement.

Summary of conclusions

3. In short: (a) I consider Bracken's claim on liability to be strong, and I assess its prospects of establishing liability at around 75 per cent; (b) the principal battlegrounds are the alleged July 2024 oral variation of the pressure tolerance and the quantification of the loss-of-profit head; (c) Calderwood's reliance on the clause 12 limitation is, in my view, unlikely to succeed; and (d) against the pleaded sum of £3,800,000, I would presently value a realistic recovery, weighted for litigation risk, in the region of £3.0 million to £3.4 million, before interest.

The factual background

4. The existence and terms of the Supply Agreement dated 14 March 2023 are admitted. The Assemblies were warranted by clause 7.4 to withstand a sustained operating pressure of not less than 410 bar, and by clause 7.2 to conform to Specification SP-HPX-440 rev. C. From August 2024, beginning with batch B-2408, Bracken received Assemblies that failed its incoming pressure tests, and from September 2024 Calderwood's deliveries became materially unreliable. Bracken terminated on 28 February 2025 and covered its requirement from Marlin Hydraulics Ltd.

Liability — the quality claim and the variation defence

5. The 410 bar warranty at clause 7.4 is clear and admitted. Calderwood's defence to the quality claim stands or falls on the alleged July 2024 oral variation to a 380 bar tolerance. That defence faces two serious obstacles.

6. First, the no-oral-modification ("NOM") clause at clause 19 requires any variation to be in writing and signed by both parties. Following the decision of the Supreme Court in *MWB Business Exchange Centres Ltd v Rock Advertising Ltd* [2018] UKSC 24, such a clause is effective according to its terms, and an informal oral variation of the kind alleged will not take effect. Calderwood's pleaded case of variation by oral agreement or conduct is, on the current material, met squarely by clause 19.

7. Secondly, even leaving clause 19 aside, the variation defence is weak on the facts. There is no contemporaneous documentary support for any agreement to relax the tolerance; the alleged agreement is said to have been reached orally between Mr Doyle and Bracken's production manager, who on Bracken's evidence had no authority to vary the contract; and Bracken's contemporaneous emails of 21 August, 9 September and 3 October 2024 assert the 410 bar requirement, which is inconsistent with any prior agreement to relax it. The estoppel argument is, in my view, unpromising: Bracken made no unequivocal representation that it would forgo its rights, and mere continued acceptance of deliveries pending investigation is not a waiver.

8. I would, however, sound one note of caution. The variation issue will turn in part on the oral evidence of the July 2024 meeting, and the Court's findings of fact are not wholly predictable. It is important that Bracken's witnesses, and in particular Mr Calloway and the relevant production manager, are properly proofed on this issue, and that disclosure of the site-meeting records and internal emails of July to August 2024 is complete.

Liability — the delivery failures and force majeure

9. The delivery claim under clause 5.1 is straightforward on the documents: 14 of 19 deliveries were late and two call-off orders were not met. Calderwood's force majeure point is weak. The sub-contractor fire on which it relies occurred on or about 14 October 2024 and post-dates several of the late deliveries, which cannot therefore have been caused by it. Further, clause 11.2 requires written notice of a force majeure event, which on the documents does not appear to have been given. The plea that Bracken's own forecasting caused the delays is, on the present material, unsupported.

The clause 12 limitation

10. Calderwood relies on clause 12 to cap its aggregate liability at the price paid in the twelve months preceding the claim (approximately £2,080,000). In my view that reliance is unlikely to succeed in limiting this claim. On its true construction the cap is directed at indirect and consequential loss; the heads claimed here — cost of cover, lost profit and wasted expenditure flowing directly from the breaches — are direct losses falling outside it. In any event, the reasonableness of the cap under the Unfair Contract Terms Act 1977 is open to serious challenge given the parties' relative bargaining positions and the allocation of risk in a safety-critical supply. I would expect the cap to fall away, but it cannot be wholly discounted and should be factored into the risk assessment.

Quantum

11. **Cost of cover (£1,450,000).** This head is well evidenced by the Marlin Hydraulics quotation and invoices and reflects a sound application of the difference in price between Calderwood's contract price and the replacement price, multiplied by volume. I expect the bulk of this head to be recovered. The mitigation challenge — that Bracken paid an unreasonably high price and failed to obtain competing quotations — is on the documents unpromising for Calderwood, particularly if, as I am instructed, Bracken did obtain and consider alternative quotations.

12. **Loss of profit (£2,100,000).** This is the head most exposed to challenge and will require careful expert accountancy support. The causation chain between the delivery and quality failures and the lost production must be properly evidenced, including by the production downtime logs and the contribution analysis. I would not be surprised to see some discount applied at trial, whether on causation or on the contribution rate, and a realistic recovery range for this head is £1.5 million to £2.1 million.

13. Wasted expenditure (£250,000). This head is modest and well documented and is, in my view, likely to be recovered in substantially the full amount.

14. Interest. Bracken is entitled to claim interest under section 35A of the Senior Courts Act 1981. A claim at a commercial rate from the date of termination is appropriate; the Schedule of Loss illustrates this at 4 per cent simple, which is a reasonable opening position.

Overall valuation and litigation risk

15. Taking the heads together, and weighting for the litigation risk on the variation issue and on the loss-of-profit causation, I would presently value a realistic recovery in the region of £3.0 million to £3.4 million, plus interest and a contribution to costs. The principal downside scenarios are (a) an adverse finding on the variation, which would reduce but not extinguish the claim, since the delivery failures would remain; and (b) a significant discount to the loss-of-profit head on causation grounds.

Procedural matters and next steps

16. I advise that priority be given to (a) completing Extended Disclosure under PD 57AD, with particular care over the July–August 2024 internal and site-meeting documents relevant to the variation issue; (b) finalising the factual witness statements in compliance with PD 57AC; and (c) instructing a forensic accountant to address the loss-of-profit head and to be in a position to meet Calderwood's expert. The directions made at the CCMC should be diarised and complied with.

Settlement and ADR

17. Bracken should continue to prosecute the claim robustly while remaining open to mediation, which I would encourage at a suitable point after disclosure and exchange of expert reports, when the parties' positions on quantum will be clearer. Given the strength of the claim on liability, any settlement materially below £2.8 million plus a contribution to costs would, in my view, undervalue the claim. I would not advise acceptance of an offer at or below the level of the clause 12 cap.

Recommendation

18. For the reasons set out above, Bracken should continue the claim, prioritise the disclosure and expert evidence identified, and keep settlement under review. I am of course happy to advise further in conference, and to settle the expert's letter of instruction and any Part 36 offer, once disclosure and expert evidence are further advanced.

CATHERINE ROSENTHAL KC

Eldon Chambers, Temple, London EC4Y 7BA

20 January 2026